



REPUBLIC OF THE PHILIPPINES  
**COMMISSION ON AUDIT**  
Commonwealth Avenue, Quezon City

**Local Government Audit Sector – NCR**  
**Audit Group F – City of Manila**

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**MEMORANDUM**

**FOR** : **ATTY. MARIA CARMINA PAULITA B. JUGUILON PAGAYAWAN**  
Director IV  
Local Government Audit Sector  
National Capital Region

**FROM** : *[Signature]* **JOSE DENNIS G. ISIP**  
State Auditor V  
This Office

**SUBJECT** : Action Plan Monitoring Tool (APMT) for CY 2024

**DATE** : September 18, 2025

In compliance with COA Memorandum 2014-002 dated March 18, 2014, we are submitting herewith the APMT for CY 2024 Annual Audit Report (AAR) as of August 31, 2025 for Audit Group F – City of Manila, together with the Agency Action Plan and Status of Implementation (AAPSI) submitted by management of the City of Manila.

Furthermore, please be informed that the AAPSI was only submitted to this Office on September 10, 2025.

# ACTION PLAN MONITORING TOOL

Sector: Local Government Audit Sector  
Team: Audit Group F  
Audited Agency: City of Manila  
Audit Period: FY 2024  
AAR Date: June 11, 2025

| AGENCY ACTION PLAN AND STATUS OF IMPLEMENTATION |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                      |                  |                |                                   |                                 |                   | RESULTS OF COA VALIDATION |                  |     |                                                                                                                                                                                                 |  |
|-------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------|------------------|----------------|-----------------------------------|---------------------------------|-------------------|---------------------------|------------------|-----|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|
| Ref.                                            | Audit Observations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Audit Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | AGENCY ACTION PLAN                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                      |                  | Status of Imp. | Reason for Partial/Delay/Non-imp. | Action Taken/Action to be Taken | Date of Follow up | Status of Imp.            | Actual Imp. Date |     | Remarks                                                                                                                                                                                         |  |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Action Plan                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Person/Dept. Responsible                                             | Target Imp. Date |                |                                   |                                 |                   |                           | From             | To  |                                                                                                                                                                                                 |  |
| CY 2024 AAR                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                      |                  |                |                                   |                                 |                   |                           |                  |     |                                                                                                                                                                                                 |  |
| AAR 2024<br>Observation No. 1<br>Page 78        | The reliability of the reported Cash in Bank - Local Currency, Current Account (CIB - LCCA) account amounting to P8,072 billion is unreliable due to the following:<br><br>a.Existence of outstanding reconciling items in the Bank Reconciliation Statement (BRS) totaling P155,799 million and P142,181 million for additions and deductions, respectively, which remain unadjusted in the books; b.Existence of variance totaling P56,510 million between the Subsidiary Ledgers (SL) balance of the OCAT and cashbook balance of the City Treasurer's Office (CTO); and P160,925 million between the SL and the confirmed balances from Authorized Government Depository Banks (AGDBs); and c.Existence of bank accounts for expropriated properties that were opened and confirmed by the bank as savings accounts and were recorded as CIB - LCCA under the General Fund (GF) books totaling P145,025 million. The above conditions resulted in the misstatement of affected accounts contrary to Paragraph 27 of International Public Sector Accounting Standard (IPSAS) I, Item 3.0 of COA Circular No. 96-011 and Section 20 of COA Circular No. 92-382 dated July 3, 1992. | 1.17.We recommended that Management require:<br><br>a.The CTO to:<br>•Immediately forward to the OCAT the supporting documents for the recording of necessary adjusting entries;<br>•Regularly coordinate with the OCAT to facilitate reconciliation of cashbook balances with the OCAT SLs for CIB accounts; and<br>•Promptly communicate noted discrepancies with the OCAT so adjustments, if any, can be recorded in a timely manner both in the books and BRS.<br><br>b.The OCAT to:<br>•Ensure that BRS are prepared for all active bank accounts and reconciling items identified in the reports are promptly recorded in the books; and<br>•Ensure that identified reconciling items in the BRS are immediately adjusted in the books to prevent accumulation of unadjusted variances between records of the OCAT, CTO and AGDB balances.               | The CTO committed to furnish the OCAT with the reconciling items reflected in their cash books for reconciliation of CAD records.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Office of the City Accountant (OCAT) & City Treasurer's Office (CTO) |                  |                |                                   |                                 | Sept. 2025        | Not Implemented           | N/A              | N/A | Reconciliation is still ongoing. No adjusting entry has been made yet by OCAT as of June 30, 2025 (latest FS submitted), while coordination between OCAT and CTO is likewise still in progress. |  |
| AAR 2024<br>Observation No. 2<br>Page 82        | There were deficiencies in the grant and liquidation of cash advances, contrary to COA regulations to wit:<br><br>a. Cash advances amounting to P355,158 million remained unliquidated as of December 31, 2024, due to the non-submission of liquidation reports by Accountable Officers (AOs), contrary to Section 89 of PD No. 1445 and Sections 5.1.1, 5.1.3, 5.7 and 5.8 of COA Circular No. 97-002;                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | We recommended that Management:<br><br>a.Direct all concerned AOs to submit the liquidation reports with supporting documents (SDs) for all outstanding CAs by issuing demand letters particularly for due and demandable advances as of December 31, 2024;                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | The OCAT justified that they have made efforts to reach out to those who have already resigned and separated from service but unfortunately, they have not received responses. For the cash advances related to the deceased employees, the OCAT have already submitted a formal request for write-off. Further, they committed that they are working with the liquidation of the active Accountable Officers and will enhance their monitoring system to enforce stricter compliance with regulations. The OCAT avers that they are reviewing and strengthening the internal policies on cash advances to ensure that no new cash advances will be granted without liquidating the previous issued. | Concerned AOs & OCAT                                                 |                  |                |                                   |                                 | Sept. 2025        | Not Implemented           | N/A              | N/A | Pending appropriate action from Management.                                                                                                                                                     |  |
|                                                 | b. Cash Advances required for immediate liquidation and settlement totaling P106,136 million pertained to accounts of AOs who are already deceased, resigned, retired or separated from the City that have been aged two months to 19 years, contrary to Section 4.1.3 of COA Circular No. 97-002 dated February 10, 1997; and                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | b.Ensure that O&E who will retire, resign or transfer to other agencies settle their accountabilities before issuing them clearance certificates. Ascertain the actual employment status of those with no information as to whether they are still active or already separated from the service; and                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | In summary, the OCAT committed to                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                                                                      |                  |                |                                   |                                 | Sept. 2025        | Not Implemented           | N/A              | N/A | Pending appropriate action from Management.                                                                                                                                                     |  |
| AAR 2024<br>Observation No. 3<br>Page 87        | The accuracy, existence and completeness of various receivables accounts as of December 31, 2024, cannot be ascertained due to the following:<br><br>a. Receivables totaling P276,143 million were recorded in total amount without SL details or supporting documentation to substantiate the composition of the balances;<br><br>b. Unsupported balances of Inter-Agency Receivables amounting to P23,692 million;<br><br>c. Misclassified tax credits amounting to P510,615 million in the Other Receivables - Others account and unrecorded Other Receivables amounting to P770,569 million; and<br><br>d. Unreconciled balance of P9,309 million due to non-recording of cleared dishonored checks under the Other Receivables - Dishonored Checks account.                                                                                                                                                                                                                                                                                                                                                                                                                     | We recommended that Management require:<br><br>a.The OCAT to:<br>•Maintain SLs for all receivable accounts to ensure that detailed records support the bulk amounts reflected in the financial statements.<br>•Immediately coordinate and reconcile with the concerned NGAs and GOCCs to confirm the unconfirmed balances and establish the correct amount for the affected accounts.<br>•Prepare adjusting entries to correct misstatements identified upon thorough evaluation of the transactions<br>• Conduct a regular review and reconciliation of receivables, including monthly or quarterly reporting, to ensure the accuracy of balances in the financial statements; and<br>Coordinate and reconcile with the Patrimonial Unit of the City General Services Office's (CGSO) to establish the correct balances for the leased properties of the City | The MUSO undertake to faithfully submit a complete and up-to-date schedule of receivables, including collections and aging reports pertaining to Land-for-the-Landless Program, to OCAT on a timely basis.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | OCAT, MUSO                                                           |                  |                |                                   |                                 | Sept. 2025        | Not Implemented           | N/A              | N/A | Pending appropriate action from Management.                                                                                                                                                     |  |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                      |                  |                |                                   |                                 | Sept. 2025        | Not Implemented           | N/A              | N/A | -do-                                                                                                                                                                                            |  |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                      |                  |                |                                   |                                 | Sept. 2025        | Not Implemented           | N/A              | N/A | -do-                                                                                                                                                                                            |  |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                      |                  |                |                                   |                                 | Sept. 2025        | Not Implemented           | N/A              | N/A | -do-                                                                                                                                                                                            |  |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                      |                  |                |                                   |                                 | Sept. 2025        | Not Implemented           | N/A              | N/A | -do-                                                                                                                                                                                            |  |

| AGENCY ACTION PLAN AND STATUS OF IMPLEMENTATION |                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                      |                  |            |                 |                                    |                                 | RESULTS OF COA VALIDATION |                 |                  |     |                                                                                                                                                            |
|-------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------|------------------|------------|-----------------|------------------------------------|---------------------------------|---------------------------|-----------------|------------------|-----|------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Ref.                                            | Audit Observations                                                                                                                                                                                                                                                                                                                                                                                                               | Audit Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | AGENCY ACTION PLAN                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                      |                  |            | Status of Imp.  | Reason for Partial/Delay/ Non-imp. | Action Taken/Action to be Taken | Date of Follow up         | Status of Imp.  | Actual Imp. Date |     | Remarks                                                                                                                                                    |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Action Plan                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Person/Dept. Responsible             | Target Imp. Date |            |                 |                                    |                                 |                           |                 | From             | To  |                                                                                                                                                            |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                      |                  |            |                 |                                    |                                 |                           |                 |                  |     |                                                                                                                                                            |
|                                                 | These are contrary to Paragraph 27 of the IPSAS 1; Sections 111 and 112 of PD No. 1445; and Items 6.1 and 6.2 of COA Circular No. 2016-005, dated December 19, 2016.                                                                                                                                                                                                                                                             | b.The MUSO to:<br>•Submit a complete and up-to-date schedule of receivables, including collections and aging reports pertaining to the Land for the Landless program, to OCAT on a timely basis.                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                      |                  |            |                 |                                    |                                 | Sept. 2025                | Not Implemented | N/A              | N/A | -do-                                                                                                                                                       |
| AAR 2024<br>Observation No. 4<br>Page 92        | The balance of the RPT and Special Education Tax (SET) Receivable amounting to P15.773 billion and P10.885 billion, respectively, as of December 31, 2024, cannot be ascertained due to the following:                                                                                                                                                                                                                           | We recommended and Management agreed and acted upon on the recommendations to:<br>a.Require the CTO to provide the OCAT with RPTODL for monitoring purposes;<br>b.Direct the OCAT and the CTO to coordinate and reconcile discrepancies between recorded balances of RPT and SET Receivable accounts against the total amount of tax delinquencies indicated in the RPTODL;                                                                                                                                                                                           | The OCAT will reconcile the discrepancies and will coordinate closely with the CTO for review, analysis and reconciliation of these accounts. They also committed to undertake a comprehensive assessment of uncollected tax accounts                                                                                                                                                                                                                                                                                                                               | CTO, OCAT                            |                  |            |                 |                                    |                                 | Sept. 2025                | Not Implemented | N/A              | N/A | Pending appropriate action from Management.                                                                                                                |
|                                                 | a. The RPT and SET Receivables per books do not tally with the total RPT Delinquencies recorded in the Real Property Tax Owners Delinquency Listing (RPTODL) by P1.207 billion, due to non-coordination between the OCAT and CTO, which resulted in unreconciled data, contrary to Paragraph 27 of IPSAS 1; and                                                                                                                  | c.Direct the OCAT to make a reliable estimate of the City's bad debts arising from uncollected taxes and set up an allowance for impairment based on the most reliable and available data that the OCAT can obtain; '                                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                      |                  |            |                 |                                    |                                 | Sept. 2025                | Not Implemented | N/A              | N/A | -do-                                                                                                                                                       |
|                                                 | b. No reasonable Allowance for Impairment was provided for RPT and SET Receivables despite the presence of balances that have remained outstanding for more than 10 years totalling P10.889 billion and P5.754 billion for RPT and SET, respectively, which is not in accordance with Paragraph 37 of IPSAS 3 to attain fair presentation as provided by IPSAS 1.                                                                | d.Require the OCAT to conduct regular and periodic verification, analysis, and validation of receivable accounts; and<br>e.Ensure strict adherence to the provisions of Section 37 of IPSAS 3 -- Accounting Policies, Changes In Accounting Estimates and Errors in establishing estimates and sufficient proper disclosures to sustain the fair presentation of financial statements under IPSAS 1                                                                                                                                                                   | OCAT                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                      |                  |            |                 |                                    |                                 | Sept. 2025                | Not Implemented | N/A              | N/A | -do-                                                                                                                                                       |
|                                                 | These have casted doubt on the accuracy, validity and reliability of the RPT and SET Receivable account balances.                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                      |                  |            |                 |                                    |                                 |                           |                 |                  |     |                                                                                                                                                            |
| AAR 2024<br>Observation No. 5<br>Page 95        | The tax collection strategies and remedies for RPT and SET delinquencies provided under pertinent Sections of RA No. 7160 were not optimally utilized by the City, as manifested by the following circumstances:                                                                                                                                                                                                                 | a.The DOA to:<br>•Conduct periodic tax mapping operations and physical surveys to validate whether all real properties are properly recorded;<br>•Fast-track updating of the AR, FAAS, and TDs by assigning additional tax mappers, appraisers, and field personnel; and                                                                                                                                                                                                                                                                                              | The DOA will undertake to comply with the recommendations. In fact, to address the concerns in the ADM, the DOA has already coordinated with the pertinent offices and bureaus of the City to promptly act on the same.<br><br>The CTO has been implementing the following measures in order to intensify RPT Collections:                                                                                                                                                                                                                                          | Department of Assessment (DOA) & CTO |                  |            |                 |                                    |                                 | Sept. 2025                | Not Implemented | N/A              | N/A | Pending appropriate action from Management.                                                                                                                |
|                                                 | a. 12,680 Notices of Delinquencies were not received by or served to registered owners of RPUs due to non-updating of addresses and other pertinent information in the RPT Assessment Roll (RPTAR) and Tax Declarations (TDs);                                                                                                                                                                                                   | •Coordinate with the Register of Deeds of the City of Manila for the submission of their latest abstract of registry pursuant to Section 209 of RA No. 7160.                                                                                                                                                                                                                                                                                                                                                                                                          | 1.Issuance of Notice of Delinquencies to different barangays from all districts which revealed various delinquencies since 2020.<br>2.The CTO shall issue the corresponding warrant of levy as soon as it has determined the delinquent properties that shall be subjected to auction.<br>3.CTO shall exert effort to furnish all barangays on the existence of each delinquent properties.<br>4.The CTO shall also furnish the city council of all notices sent to each barangays and shall post on conspicuous places of all districts all delinquent properties. |                                      |                  |            | Sept. 2025      | Not Implemented                    | N/A                             | N/A                       | -do-            |                  |     |                                                                                                                                                            |
|                                                 | b. Submission of a certified list of RPT delinquencies to the City Council and posting of Notice of Delinquencies (NOD) were not undertaken by the CTO within City Hall premises and in strategic locations in barangays where the delinquent RPUs are situated; and                                                                                                                                                             | b.The CTO to:<br>• Intensify the operations of its GIS, i.e., to include other districts of the City, and furnish DOA a copy of the GIS Monitoring Report;<br><br>• Adopt strategies such as issuance of the warrant of levy, public auction, and institution of civil action against delinquent real property taxpayers;                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                      |                  | Sept. 2025 | Not Implemented | N/A                                | N/A                             | -do-                      |                 |                  |     |                                                                                                                                                            |
|                                                 | c. Discrepancies noted between the TDs vis-à-vis the actual status of properties based on the Geographical Information System (GIS) of the CTO.<br><br>These conditions contributed to the accumulation of tax delinquencies totaling P27.864 billion, exclusive of interest, as of December 31, 2024, thus, depriving the City of essential income for the implementation of priority PPAs for the benefit of its constituents. | • Request assistance from barangays for its tax campaign program, particularly in the dissemination of NODs and demand letters, and serve warrants of levy to the delinquent real property owners within their areas of jurisdiction;<br><br>• Regularly post notices of delinquencies in strategic locations of the City Hall, and ask for the assistance of barangays for the posting of the same in each barangay where the delinquent property is located; and<br><br>• Furnish the City Council with a copy of the NODs for assistance and enforcement purposes. |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                      |                  | Sept. 2025 | Not Implemented | N/A                                | N/A                             | -do-                      |                 |                  |     |                                                                                                                                                            |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                      |                  | Sept. 2025 | Not Implemented | N/A                                | N/A                             | -do-                      |                 |                  |     |                                                                                                                                                            |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                      |                  | Sept. 2025 | Not Implemented | N/A                                | N/A                             | -do-                      |                 |                  |     |                                                                                                                                                            |
| AAR 2024<br>Observation No. 6<br>Page 101       | The accuracy of the Inventory account, totalling P309.908 million, as presented in the FS could not be determined due to:<br><br>a. Adjustments to year-end balances with net amount of P757.257 million without corresponding documentation;                                                                                                                                                                                    | We recommended that:<br>a.The OCAT to -<br>• Provide documentation for inventory adjustment when reconciling the RPTC with accounting records;<br><br>• Strictly implement the Perpetual Inventory Method through maintenance of SLC;                                                                                                                                                                                                                                                                                                                                 | The OCAT is already working with the CGSO and the Inventory Team for the conduct and completion of the one-time cleansing of PPE. The double recording was already adjusted. They commit to ensure the establishment of the CIPLC for each project simultaneously with the one-time cleansing.                                                                                                                                                                                                                                                                      |                                      |                  |            |                 |                                    |                                 | Sept. 2025                | Not Implemented | N/A              | N/A | Ongoing coordination among the OCAT, CGSO, Inventory Committee and other concerned offices for the conduct and completion of the one-time cleansing of PPE |

| AGENCY ACTION PLAN AND STATUS OF IMPLEMENTATION |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                      |                  |                |                                   |                                 |                   |                 |                  | RESULTS OF COA VALIDATION |                                                             |  |  |
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| Ref.                                            | Audit Observations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Audit Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | AGENCY ACTION PLAN                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                                      |                  | Status of Imp. | Reason for Partial/Delay/Non-imp. | Action Taken/Action to be Taken | Date of Follow up | Status of Imp.  | Actual Imp. Date |                           | Remarks                                                     |  |  |
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|                                                 | <p>b. Unreconciled differences between the OCAT records and the CGSO Reports of Physical Count of Inventories (RPCI) resulting in misclassification or misposting within Inventory sub-accounts amounting to P301.743 million;</p> <p>c. Inability of the OCAT to maintain Stock Ledger Cards (SLC); and</p> <p>d. Unreliability of the CGSO RPCI due to discrepancies between CGSO reports and hospitals concerned caused by: (1) incorrect cut-off; (2) non-maintenance of stock cards; and (3) inconsistencies in the preparation and submission of Summary of Supplies and Materials Issued (SSMI).</p> <p>These are not in accordance with Paragraph 44 of IPSAS 12, Section 114 of the Manual of the New Government Accounting System and (MNGAS) for Local Government Units (LGUs), and Section 111 of PD No. 1445.</p>                                                                                                                                                                                                                                                                                                                                                                                                                    | <p>Coordinate with CGSO on the reconciliation and review of Inventory accounts, to include the proper classification of inventories; and</p> <p>• Subsequently, prepare adjusting entries to correct the balances of Inventory accounts based on reconciliations conducted.</p> <p>b. The CGSO to –</p> <p>• Observe proper cut-off procedures to ensure that the RPCI reflects correct year-end balances;</p> <p>• Maintain and update stock cards for all Inventory items and ensure that the same are readily available for examination;</p> <p>• Standardize the preparation and submission of SSM</p> <p>• Explore the acquisition of an automated Inventory system.</p> <p>c. For hospitals to submit and reconcile their records with CGSO on a regular basis.</p>                                                                                                                                                                                                                                                                                           | <p>For each institution, there shall be given the reinforcement of the internal processes, improvement of inter-office collaboration, and pursuit of any supplementary measures that may facilitate the accurate and prompt submission of requisite documents. Furthermore, they justified that the discrepancy was due to the different operational procedures of the two offices – namely, the accounting treatment applied by the OCAT and the technical monitoring and reporting methods they observed. Nonetheless, they are in close coordination with the OCAT to confirm the sources of discrepancy and to ensure appropriate adjustments.</p>                                                                                                       |                                      |                  |                |                                   |                                 | Sept. 2025        | Not Implemented | N/A              | N/A                       | -do-                                                        |  |  |
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| AAR 2024<br>Observation No. 7<br>Page 107       | <p>The audit of the Land account disclosed the following conditions:</p> <p>a. There are 348 land titles in the custody of the CGSO that are not registered under the name of the City, thus raising uncertainties in the ownership or rightful claim for said real properties;</p> <p>b. The Land Transfer Certificate Titles (TCTs) of the City could not be traced to OCAT and CGSO records due to incomplete details in the Report on the Physical Count of Property, Plant and Equipment (RPCPPE) and SL of the Land account;</p> <p>c. The AO in charge of the custody and safekeeping of the TCTs and vault is not covered with fidelity bond; and</p> <p>d. The vault for TCTs is no longer suitable for safekeeping purposes due to flood damage, and wear and tear.</p> <p>These conditions are contrary to Paragraphs 27 of the IPSAS 1, Section 376 of RA No. 7160 or Local Government Code (LGC), and Section 4.4 of Treasury Circular No. 03-2009. Thus, the accuracy, reliability and existence of the land could not be ascertained. Further, the absence of fidelity bond of the AO and the lack of a suitable vault for TCTs exposes said documents to potential loss, misappropriation, and damage due to natural hazards.</p> | <p>We recommended and Management agreed and acted upon on the following:</p> <p>a. The OCAT to coordinate with CGSO to initiate the reconciliation of the land account details and to establish a fair presentation of the account in the books;</p> <p>b. The CGSO to:</p> <p>• Gather data to complete land records and update the Inventory listing of land titles;</p> <p>• Secure a fidelity bond for the accountable officer in charge of the safekeeping of the land titles; and</p> <p>• Request the assistance of the Legal Department in evaluating and transferring the TCTs under the name of the City;</p> <p>c. The City Budget Office (CBO) to source funds for the procurement of a safety vault and for possible costs of ownership transfer should several properties be deemed as owned by the City.</p> <p>d. Strictly comply with the proper recording of PPE accounts guided by Paragraphs 27 of IPSAS 1, Paragraph 82 of IPSAS 17, Section 125 of the MNGAS, Section 376 of RA No. 7160 and Section 4.4 of Treasury Circular No. 2-2009.</p> | <p>The OCAT is collaborating with the CGSO to reconcile the account.</p> <p>The CGSO is currently gathering data to establish and maintain an exhaustive, authoritative, and verifiable repository of land assets. Likewise, they have identified a suitable location for the vault and preparatory activities is presently being undertaken such as minor retrofitting and future adjustments to ensure readiness upon delivery and installation of the vault.</p> <p>The requisite bond covering the accountable officer is currently on process and has been documented by Special Order dated April 10, 2015.</p> <p>The CGSO will actively and continually engage with the City Legal Office to facilitate transfer transactions and documentation.</p> | CBO, Inventory Committee, CGSO, DEPW |                  |                |                                   |                                 | Sept. 2025        | Not Implemented | N/A              | N/A                       | Ongoing coordination with OCAT, CGSO, and City Legal Office |  |  |
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| AAR 2024<br>Observation No. 8<br>Page 109       | <p>The following practices are not in accordance with Paragraph 68 of the IPSAS 17, and Sections 4.12 to 4.14, 5.7 to 5.8, 6 and 7 of COA Circular 2015-008 dated November 23, 2015:</p> <p>a. No-recognition of the depreciation expense and accumulated depreciation on the Infrastructure Assets (IA) - Road Networks account with a total cost of P2.32 billion;</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | <p>We recommended that Management require:</p> <p>a. The DEPW to provide OCAT and CGSO complete information of IA-Road Networks, including road IDs, road names, components, descriptions, and cost segregation, to enable the accurate preparation of reports such as the Report on Local Road Network and the Report on Physical Count of the Road Network;</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | <p>The CGSO stated that the City issued a memorandum directing the Inventory Committee to conduct a comprehensive Local Road Inventory and Road mapping.</p> <p>The OCAT commented that the physical count of all road network assets is still ongoing</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                      |                  |                |                                   |                                 | Sept. 2025        | Not Implemented | N/A              | N/A                       | Pending appropriate action from Management.                 |  |  |

| AGENCY ACTION PLAN AND STATUS OF IMPLEMENTATION |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                          |                  |                |                                   |                                 |                   | RESULTS OF COA VALIDATION |                  |     |                                                                                                                                                            |
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| Ref.                                            | Audit Observations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Audit Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Action Plan                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | AGENCY ACTION PLAN       |                  | Status of Imp. | Reason for Partial/Delay/Non-imp. | Action Taken/Action to be Taken | Date of Follow up | Status of Imp.            | Actual Imp. Date |     | Remarks                                                                                                                                                    |
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|                                                 | <p>b. Non-preparation of the Report on Local Road Network due to the absence of data, such as the complete description and cost segregation of road components for the road projects coming from the DEPW; and</p> <p>c. Non-maintenance of the subsidiary records on components of road networks.</p> <p>Thus, the existence, accuracy, and validity of the balances of the IA – Road Networks account and its corresponding Depreciation Expense and Accumulated Depreciation account could not be established.</p>                                                                                                                                                                                                                                                   | <p>b. The OCAT to:</p> <ul style="list-style-type: none"> <li>Coordinate with DEPW and CGSO to establish the estimated useful life of the depreciable component of road networks and identify road lots;</li> <li>Coordinate with CGSO to determine the acquisition date for items with incomplete information and update the Road Network Lapsing Schedule;</li> <li>Recognize the depreciation and accumulate depreciation for the items under road networks using the prescribed chart of accounts; and</li> <li>Comply with Sections 4 to 6 of COA Circular No. 2015-008, Paragraph 27 IPSAS 1, Paragraph 59 of IPSAS 17.</li> </ul> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                          |                  |                |                                   |                                 | Sept. 2025        | Not Implemented           | N/A              | N/A | -do-                                                                                                                                                       |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | <p>c. The Inventory Committee to conduct a comprehensive physical inventory of all road network assets;</p> <p>d. The CGSO to prepare the Report on the Local Road Network and the Inventory Committee to submit the Report on the Physical Count of the Local Road Network in accordance with Section VI and VII-b of COA Circular No. 2015-008;</p> <p>e. The DEPW, CGSO and OCAT to enhance coordination regarding IA-Road Networks; and</p> <p>f. The City to comply with pertinent provisions of COA Circular No. 2015-008, Paragraphs 27 of the IPSAS 1, Paragraph 59 of IPSAS 17.</p>                                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                          |                  |                |                                   |                                 | Sept. 2025        | Not Implemented           | N/A              | N/A | -do-                                                                                                                                                       |
| AAR 2024<br>Observation No. 9<br>Page 114       | <p>9. The balances of the Building and School Buildings account as of December 31, 2024, cannot be ascertained due to the following:</p> <p>a. Discrepancies between the OCAT SLs and the CGSO RPCPPE amounting to P3.741 billion due to:</p> <ul style="list-style-type: none"> <li>PPE items that were recorded in the OCAT but not in the RPCPPE amounting to P0.772 billion;</li> <li>PPE items that were recorded in the RPCPPE but not in the OCAT totalling P4.512 billion;</li> </ul>                                                                                                                                                                                                                                                                           | <p>9.14. We recommended that Management direct:</p> <p>a. The OCAT and CGSO to initiate reconciliation of their data;</p> <p>b. The OCAT to coordinate with the DEPW and establish the cost of demolished school buildings for proper derecognition in the books (with supporting documentation);</p>                                                                                                                                                                                                                                                                                                                                    | <p>Management planned on implementing the one-time cleansing of PPE.</p> <p>Simultaneously, CGSO will initiate coordination with the DEPW and formally request the submission of all relevant documentation relative to the demolition of school buildings, to facilitate the verification of reported adjustments and proper attribution of asset status</p>                                                                                                                                                   | OCAT, CGSO               |                  |                |                                   |                                 | Sept. 2025        | Not Implemented           | N/A              | N/A | Ongoing coordination among the OCAT, CGSO, Inventory Committee and other concerned offices for the conduct and completion of the one-time cleansing of PPE |
|                                                 | <p>These conditions are not in accordance with Paragraph 27 of the IPSAS 1, Paragraph 82 of IPSAS 17, Section 147 of COA Circular 92-386, and Section 3.6 of COA Circular 2020-006. These discrepancies between the OCAT and CGSO records cast doubt on the accuracy, reliability and validity of the reported balances of Building and School Buildings. Also, the non-derecognition of demolished PPE overstated the School Buildings account by P0.051 billion.</p>                                                                                                                                                                                                                                                                                                  | <p>c. The DEPW to fast-track the retrieval of documents pertaining to demolished school buildings, and submit to OCAT and CGSO verified information for updating purposes; and</p> <p>d. Strictly comply with Paragraphs 27 of IPSAS 1, Paragraph 82 of IPSAS 17, Section 147 of COA Circular 92-386 and Section 6.3 of COA Circular No. 2020-006.</p>                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | DEPW                     |                  |                |                                   |                                 | Sept. 2025        | Not Implemented           | N/A              | N/A | -do-                                                                                                                                                       |
| AAR 2024<br>Observation No. 10<br>Page 117      | <p>10. The reliability and completeness of the PPE - Medical Equipment account balance totalling P1.825 billion could not be ascertained due to the following:</p> <p>a. Discrepancies between the OCAT SLs and the CGSO RPCPPE amounting to P1.181 billion, due to:</p> <ul style="list-style-type: none"> <li>PPE items recorded in the OCAT but not in the RPCPPE amounting to P0.776 billion;</li> <li>PPE items that were recorded in the RPCPPE but not in the OCAT totalling P2.017 billion;</li> <li>PPE items amounting to P0.051 billion that could not be reconciled due to insufficient data or description on both records; and</li> <li>PPE items amounting to P0.174 billion were incorrectly classified under the Medical Equipment account.</li> </ul> | <p>10.11. We recommended that Management direct:</p> <p>a. The OCAT to:</p> <ul style="list-style-type: none"> <li>Coordinate with the CGSO to address inconsistencies in the PPE items and properly account for them in the accounting records;</li> <li>Prepare the necessary information required by CO Circular No. 2020-006, and conduct the procedures provided therein for the implementation of the one-time cleansing of PPE in the books; and</li> <li>Prepare adjusting entries to correct the misclassified Medical Equipment items.</li> </ul>                                                                              | <p>The OCAT committed that beginning CY 2025, their office is working with the CGSO and the Inventory Team for the conduct and completion of the one-time cleansing of PPE. Also, JEV No. 1002501008778 was drawn in CY 2025 to address observation B.</p> <p>The CGSO will prepare and provide all available necessary documents needed by the OCAT in order to update their SLs based on RPCPPE report of 2024 and inventory results of the one-time cleansing, based and guided by COA Circular 2020-006</p> | OCAT                     |                  |                |                                   |                                 | Sept. 2025        | Not Implemented           | N/A              | N/A | Ongoing coordination among the OCAT, CGSO, Inventory Committee and other concerned offices for the conduct and completion of the one-time cleansing of PPE |

| AGENCY ACTION PLAN AND STATUS OF IMPLEMENTATION |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                                   |                  |  |                |                                   |                                                                                                                                                                                                          |                   | RESULTS OF COA VALIDATION |                  |     |                                                                                                                                                            |
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| Ref.                                            | Audit Observations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Audit Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | AGENCY ACTION PLAN                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                   |                  |  | Status of Imp. | Reason for Partial/Delay/Non-imp. | Action Taken/Action to be Taken                                                                                                                                                                          | Date of Follow up | Status of Imp.            | Actual Imp. Date |     | Remarks                                                                                                                                                    |
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|                                                 | <p>These are not in accordance with Paragraph 27 of the IPSAS 1, and Section 6.3 of COA Circular No. 2020-006. These discrepancies between the OCAT and CGSO records adversely affected the accuracy and validity of the reported balances of PPE-Medical Equipment</p> <p>Also, the misclassification overstated the Medical Equipment account by P0.174 billion and understated the Computer Software account, together with its Accumulated Depreciation of P0.009 billion, and Prior Period Adjustment account for the Semi-Expendable items amounting to P0.170 billion.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | <p>b. The CGSO to:</p> <ul style="list-style-type: none"><li>Coordinate with the OCAT for the reconciliation of PPE records against the RPCPPE, and address issues pertaining to PPEs found at stations during the physical count; and</li><li>Prepare the requirements per COA Circular No. 2020-006 and expedite the procedures outlined therein for the one-time cleansing of PPE.</li></ul> <p>c. Henceforth, strictly comply with the proper recording of PPE accounts as guided by Paragraph 14 of IPSAS 1, and Section 6.3 of COA Circular No. 2020-006.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                                   |                  |  |                |                                   |                                                                                                                                                                                                          | Sept. 2025        | Not Implemented           | N/A              | N/A | -do-                                                                                                                                                       |
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| AAR 2024<br>Observation No. 11<br>Page 121      | <p>11. The six City District Hospitals could not maximize utilization of their resources due to the following PPE and Semi-Expendable items challenges that have not been addressed:</p> <p>a. Unserviceable PPE and Semi-Expendable items amounting to P74.131 million remained undisposed;</p> <p>b. Unserviceable PPE and Semi-Expendable items amounting to P45.867 million could no longer be traced in the books despite non-disposal of said items; and</p> <p>c. Semi-expendable property items that are no longer used and unserviceable amounting to P1.128 million were inappropriately reported in the Waste Materials Report (WMR).</p> <p>These are contrary to Part I, Section C.1 of COA-DBM Joint Circular No. 2024-1 dated January 30, 2024, or the Revised Manual on the Disposal of Government Properties, Section 4.7.10 of COA Circular No. 2022-004 dated May 30, 2022, and Section 167 of COA Circular No. 92-386, dated October 20, 1992, or the Rules and Regulations in the Supply and Property Management in the Local Governments</p>                                                                                                                                                                         | <p>11.16. We recommended that Management require the:</p> <p>a. Disposal Committee and CGSO coordinate with the Property Units of the six District Hospitals to facilitate the procedures for disposal of items and updating of the IIRUP and WMR, as guided by COA-DBM Joint Circular No. 2024-1, Section 4.7.10 of COA Circular No. 2022-004 and Section 167 of COA Circular No. 92-386;</p> <p>b. Disposal Committee and CGSO consider the other modes of disposal provided under Section H of Part II of COA-DBM Joint Circular No. 2024-1 viable to the six district hospitals and initiate disposal procedures;</p> <p>c. OCAT to revisit and reconcile all adjusting entries made in prior years pertaining to the dropping of PPE accounts in the books to account for the items that are no longer recorded; and</p> <p>d. Henceforth, strictly comply with COA-DBM Joint Circular No. 2024-1, Section 4.7.10 of COA Circular No. 2022-004, and Section 167 of COA Circular No. 92-386.</p> | <p>The CGSO stated that they coordinated with the six district hospitals and assisted them with the classifications, proper procedures and other modes of disposal of unserviceable PPE and semi-expendables. In addition, they also disseminated memorandum dated May 9, 2025 informing all departments on the proper procedures and appropriate forms in compliance with JC No. 2024-1, COA Circular 2022-004 and COA Circular 92-386.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Disposal Committee, OCAT and CGSO |                  |  |                |                                   | CGSO disseminated memorandum dated May 9, 2025 informing all departments on the proper procedures and appropriate forms in compliance with JC No. 2024-1, COA Circular 2022-004 and COA Circular 92-386. | Sept. 2025        | Not Implemented           | N/A              | N/A | Ongoing coordination among the OCAT, CGSO, Inventory Committee and other concerned offices for the conduct and completion of the one-time cleansing of PPE |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                                   |                  |  |                |                                   |                                                                                                                                                                                                          | Sept. 2025        | Not Implemented           | N/A              | N/A | -do-                                                                                                                                                       |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                                   |                  |  |                |                                   |                                                                                                                                                                                                          | Sept. 2025        | Not Implemented           | N/A              | N/A | -do-                                                                                                                                                       |
| AAR 2024<br>Observation No. 12<br>Page 125      | <p>12. The reliability and accuracy of the Construction In Progress (CIP) account balance totaling P4.086 billion cannot be ascertained due to:</p> <p>a. Non-reconciliation of the OCAT records and the CGSO RPCPPE of the CIP, with discrepancies amounting to P6.532 billion due to:</p> <ul style="list-style-type: none"><li>Projects appearing in the RPCPPE of CIP but were not recorded in the books, amounting to P0.106 billion;</li><li>Projects that have been completed but remain recorded under CIP and have not yet been reclassified to their corresponding asset accounts amounting to P2.097 billion;</li><li>The CIP account is credited for completed projects. However, the corresponding debit entry to initially recognize the project was not recorded, amounting to P0.241 billion; and</li><li>Double recording of transactions amounting to P0.178 billion.</li></ul> <p>b. Non-maintenance of the CIP Ledger Card (CIPLC) for each project by the OCAT.</p> <p>These practices are not in accordance with Paragraph 27 of the IPSAS 1, Section 16 of Chapter 1 of Volume II of the MNGAS for LGUs, and Section 111 of PD No.1445. Thus, the fairness of the CIP account balance could not be established.</p> | <p>12.18. We recommended that Management direct the OCAT to:</p> <p>a. Analyze the CIP account and make appropriate adjustments to attain its fair presentation;</p> <p>b. Regularly coordinate with CGSO and other implementing offices to timely recognize the completion of projects and consider the formulation of guidelines that will address issues such as delayed processing of final billings by contractors to facilitate the timely and proper accounting treatment of CIP transactions; and</p> <p>c. To prepare and maintain the required CIPLC.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                  | <p>The OCAT is already working with the CGSO and the Inventory Team for the conduct and completion of the one-time cleansing of PPE. The double recording was already adjusted. They commit to ensure the establishment of the CIPLC for each project simultaneously with the one-time cleansing.</p> <p>The CGSO conveys its readiness to further enhance the coordination with concerned departments to ensure the timely and proper recognition of completed projects. Particular attention shall be given to the reinforcement of the internal processes, improvement of inter-office collaboration, and pursuit of any supplementary measures that may facilitate the accurate and prompt submission of requisite documents. Furthermore, they justified that the discrepancy was due to the different operational procedures of the two offices – namely, the accounting treatment applied by the OCAT and the technical monitoring and reporting methods they observed. Nonetheless, they are in close coordination with the OCAT to confirm the source of discrepancy and to ensure appropriate adjustments.</p> | OCAT, CGSO                        |                  |  |                |                                   |                                                                                                                                                                                                          | Sept. 2025        | Not Implemented           | N/A              | N/A | Ongoing coordination among the OCAT, CGSO, Inventory Committee and other concerned offices for the conduct and completion of the one-time cleansing of PPE |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                                   |                  |  |                |                                   |                                                                                                                                                                                                          | Sept. 2025        | Not Implemented           | N/A              | N/A | -do-                                                                                                                                                       |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                                   |                  |  |                |                                   |                                                                                                                                                                                                          | Sept. 2025        | Not Implemented           | N/A              | N/A | -do-                                                                                                                                                       |

| AGENCY ACTION PLAN AND STATUS OF IMPLEMENTATION |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                          |                  |                |                                    |                                 |                   | RESULTS OF COA VALIDATION |                  |     |         |                                                                                                       |
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| Ref.                                            | Audit Observations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Audit Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | AGENCY ACTION PLAN                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                          |                  | Status of Imp. | Reason for Partial/Delay/ Non-imp. | Action Taken/Action to be Taken | Date of Follow up | Status of Imp.            | Actual Imp. Date |     | Remarks |                                                                                                       |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Action Plan                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Person/Dept. Responsible | Target Imp. Date |                |                                    |                                 |                   |                           | From             | To  |         |                                                                                                       |
| AAR 2024<br>Observation No. 13<br>Page 129      | 13. The reliability, existence and completeness of the AP account balance of P5,574 billion under the GF cannot be ascertained due to the discrepancy of P608,391 million between the balance of payables in the books and the confirmed amounts by various suppliers, contrary to Section 112 of PD No. 1445, and Paragraph 27 of IPSAS 1.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 13.7. We recommended and management agreed that the OCAT will reconcile the confirmed payables balances from suppliers/contractors with the recorded amounts per books, and prepare the necessary adjustments to correct the figures.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | The OCAT submitted proof that the names of the payees/supplier were already indicated to address observation A. Also, as of March 31, 2025, they have already drawn JEV Nos. 1002504008611, 1002502007047, 1002501006088, 1002501006089, 1002501006071, 1002501006073, 1002501006091, 1002501006072, 1002501005985, 1002504008677 to adjust the errors noted in observation B.                                                                                                                                                                                                                                                                                                                                                                                                                    | OCAT                     |                  |                |                                    |                                 |                   |                           | Not Implemented  | N/A | N/A     | Pending completion of the reconciliation; partial adjustments made by OCAT have already been verified |
| AAR 2024<br>Observation No. 14<br>Page 130      | 14. The Due to BIR account amounting to P577.243 million could not be established due to the existence of:<br><br>a. Unremitted/unreconciled taxes withheld, including those from prior years amounting to P491.145 million, which is not in compliance with BIR revenue regulations; and<br><br>b. Abnormal (debit) SL balances totaling P527.375 million, contrary to IPSAS.<br><br>Thus, the accuracy and fairness of the Due to BIR account cannot be ascertained.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | 14.18. We recommended that the Management direct the OCAT to:<br><br>a. Conduct a comprehensive reconciliation of the account by matching withheld taxes with actual remittances and analyze long-outstanding unremitted taxes from prior years and SLs with abnormal balances. Subsequently, draw adjusting entries as necessary with sufficient supporting documents;<br><br>b. Maintain a record that monitors the status of any unpaid employee compensation where taxes are already withheld; and<br><br>c. Ensure that controls are in place to warrant that taxes are correctly computed and withheld, and that these are immediately remitted to the BIR when due.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | The OCAT stated that a comprehensive reconciliation of the account is currently being undertaken and they will prepare the necessary adjusting entries once completed. They committed to resolve the issues raised promptly and prevent recurrence through improved coordination, timely posting of transactions and periodic reviews of all statutory accounts.                                                                                                                                                                                                                                                                                                                                                                                                                                  | OCAT                     |                  |                |                                    |                                 | Sept. 2025        |                           | Not Implemented  | N/A | N/A     | Reconciliation is still ongoing                                                                       |
| AAR 2024<br>Observation No. 15<br>Page 133      | 15. The Due to Government Service Insurance System (GSIS) account balance of P161,416 million as of December 31, 2024, showed deficiencies, as follows:<br><br>a. Accounting errors resulted in an abnormal balance of P7.290 million in the GSIS SL, contrary to Paragraph 27 of IPSAS 1; and<br><br>b. Unreconciled balances between the amounts recorded in the books and the GSIS billing statements, amounting to P5,446 million for premium contribution and P85,150 million for various service loans availed by city employees resulted from gaps in implementation of procedures and policies, contrary to pertinent provisions of RA No. 8291 or the GSIS Act of 1997 and its Revised Implementing Rules and Regulations (IRR).<br><br>Thus, the accuracy and fairness of the GSIS account balance as of year-end cannot be ascertained. The gaps in procedures and policies expose the City and its employees to unnecessary interest and affect the employees' loan privileges and other benefits from the GSIS. | 15.18. We recommended and Management agreed to:<br><br>a. Require the DPOs to:<br>• Ensure the timely submission of updated information of City employees to GSIS, such as new salary rates, employment status, positions, and other pertinent information to minimize the occurrence of mismatched records;<br>• Promptly address deficiencies noted which cause the mismatch of data, and coordinate/report to the CPO all actions taken and results of such actions regarding the request for updates of employees' information before the GSIS;<br><br>b. Regularly reconcile, together with AAOs, their record with the OCAT and CPO to promptly establish the actual amount withheld from employees for immediate recording and remittance and loan amortizations to the GSIS; and<br><br>• Require AAOs to submit to OCAT and CPO complete and accurate records of employees with existing loan accounts and mismatched records with the GSIS for monitoring and reconciliation purposes.<br><br>c. Require the CPO to:<br>• Require the AAOs to ensure that monthly amortization shall be deducted from the monthly salaries of employees;<br>• Maintain a detailed and comprehensive database of employees with existing loan accounts and mismatched records with the GSIS for monitoring and reconciliation purposes; and<br><br>• Regularly coordinate with the DPOs, AAOs, and OCAT to address the root cause and mitigate the discrepancies/deficiencies noted. | The CPO stated that the recommendations are well considered. Furthermore, the scheduling regular meetings with the DPOs, OCAT, and AAOs to address the root cause and mitigate the deficiencies noted. Finally, the CPO is optimistic that the recent move of decentralization of 12 Departments and Offices of the City will be a great factor in resolving the GSIS concerned in the AQM.<br><br>The OCAT has adjusted in CY 2025 the errors raised in item a. The understatement of P5,446 million is related to initial salary, final salary, salary differentials and special payrolls. These transactions will be recorded once they have been processed by their respective offices. The variance of P85,150 million pertains to employee loans that were not deducted from their payroll. | CPO, AAOs, OCAT          |                  |                |                                    |                                 | Sept. 2025        |                           | Not Implemented  | N/A | N/A     | Subject to confirmation in the CY 2025 audit                                                          |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                          |                  |                |                                    |                                 | Sept. 2025        |                           | Not Implemented  | N/A | N/A     | -do-                                                                                                  |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                          |                  |                |                                    |                                 | Sept. 2025        |                           | Not Implemented  | N/A | N/A     | -do-                                                                                                  |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                          |                  |                |                                    |                                 | Sept. 2025        |                           | Not Implemented  | N/A | N/A     | -do-                                                                                                  |

| AGENCY ACTION PLAN AND STATUS OF IMPLEMENTATION |                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                  |    |                |                                   |                                 | RESULTS OF COA VALIDATION |                                                               |                                                               |     |                                              |
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| Ref.                                            | Audit Observations                                                                                                                                                                                                                                                                                                                                                                                                                                  | Audit Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Action Plan                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Person/Dept. Responsible                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Target Imp. Date |    | Status of Imp. | Reason for Partial/Delay/Non-Imp. | Action Taken/Action to be Taken | Date of Follow up         | Status of Imp.                                                | Actual Imp. Date                                              |     | Remarks                                      |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | From             | To |                |                                   |                                 |                           |                                                               | From                                                          | To  |                                              |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                     | c.Require the OCAT to:<br><br>* Address and correct the accounting errors noted paragraph 3(a); and<br><br>* Expedite, together with DPOs, AAOs, and CPO, the reconciliation of members' records with the GSIS to avoid the discrepancies/deficiencies noted.                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                  |    |                |                                   |                                 | Sept. 2025                | Not Implemented<br><br>Not Implemented                        | N/A                                                           | N/A | -do-                                         |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                     | d. Strengthen coordination among departments, streamline the remittance process, and implement more effective monitoring and reconciliation procedures;<br><br>e. Provide uniform policy/guidelines to all personnel involved from OCAT, CPO, DPOs, and AAOs on the proper procedures for handling GSIS contributions, loan repayments, and member updates to ensure that all employees are aware of their responsibilities and that there is a consistent approach to managing GSIS-related tasks across departments; and<br><br>f. Henceforth, strictly comply with Sections 14, 15 and 16 of RA No. 8291 and Its RIRR and GSIS Memorandum Circular No. 027, s. 2021, dated May 19, 2021.                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                  |    |                |                                   |                                 | Sept. 2025                | Not Implemented<br><br>Not Implemented<br><br>Not Implemented | N/A                                                           | N/A | -do-                                         |
|                                                 | AAR 2024<br>Observation No. 16<br>Page 139                                                                                                                                                                                                                                                                                                                                                                                                          | 16. The premium contributions and loan amortizations deducted from employees totaling P34,590 million were not remitted to Pag-IBIG, contrary to Section 3, Rule VII of the IRR of RA No. 9679, thereby exposing the City to possible penalties. Further, one SL account has an abnormal balance of P0.123 million, contrary to Paragraph 27 of IPSAS 1 – Presentation of Financial Statements, which adversely affects the Due to Pag-IBIG account balance.                                                                                                                                                                                                                                                                    | 16.B. We recommended that Management:<br>a. Remit the P34,589,935.79 premium contributions and loan amortizations withheld from employees upon due validation of the amount;<br>b. Reconcile and draw necessary adjusting entries for the P123,095.14 abnormal balance; and<br>c. Strictly comply with Section 3, Rule VII of the IRR of RA No. 9679 dated July 21, 2009, on the remittances of premium contributions and loan payments.                                                                                                                                                                                                                                          | The OCAT has promptly communicated the identified issues to the concerned departments for necessary action. They committed to ensure that the remittance will follow upon validation of the amounts due. Likewise, thorough reconciliation of the abnormal balance will be done to identify the cause of the same. They committed to address the issues with urgency. OCAT has drawn JEVRI002504009380 to address abnormal balance as recommended in letter b.<br><br>The City Personnel Office will meet with the concerned officers to discuss this recommendation. Likewise, the CPO is in the initial stage of devising a detailed and comprehensive database of all city employees' monthly contributions/premiums and loan amortizations deducted from their salaries. | OCAT             |    |                |                                   |                                 |                           | Sept. 2025                                                    | Not Implemented<br><br>Not Implemented<br><br>Not Implemented | N/A | N/A                                          |
| AAR 2024<br>Observation No. 17<br>Page 142      | 17. The balance of Due to PhilHealth account under the GF amounting to P43.517 million could not be ascertained due to:<br><br>a. Unreconciled/unremitted balance amounting to P29.998 million and delayed remittance for a period of 16 to 787 days during the year;<br><br>b. Errors in recording transactions in the SLs amounting to P7.513 million; and<br><br>c. Delay in the recording of remittances in the books totaling P25.573 million. | 18.15. We recommended and the Management agreed to require the OCAT:<br><br>a. To review all dormant accounts and ensure that copies of MOA, Deeds of Donations and other similar documents, Liquidation Reports, Status of Utilization and other documents to support fund transfers are available to determine if project implementations are in compliance with COA Circular No. 2016-005 and ensure that fund balances, if any, are properly accounted for and disposed of in accordance with Section 6.7 of COA Circular No. 94-013;<br><br>b. Together with implementing offices, ensure that MOAs and Deeds of Donation or other similar documents are duly safeguarded in support of transaction recorded in the books; | The CTO commented that they have been observing the prescribed remittance procedures which was always based on the approved DV by the OCAT.<br><br>The OCAT has already initiated a comprehensive reconciliation of the account through coordinating with respective Departments/Offices and the CTO; reviewing and validating the unreconciled/unremitted balance and identifying transactions with delayed remittance; examining the errors and taking corrective actions; and updating and correcting the delayed recording of remittance to reflect the accurate and timely entries in the books. They committed to resolve the issues raised promptly to prevent recurrence. | OCAT                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                  |    |                |                                   |                                 | Sept. 2025                | Not Implemented                                               | N/A                                                           | N/A | Subject to confirmation in the CY 2025 audit |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                  |    |                |                                   |                                 | Sept. 2025                | Not Implemented                                               | N/A                                                           | N/A | -do-                                         |

| AGENCY ACTION PLAN AND STATUS OF IMPLEMENTATION |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                  |                  |  |                |                                   |                                 | RESULTS OF COA VALIDATION |                                                                                              |                                              |      |                                                                  |
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| Ref.                                            | Audit Observations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Audit Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | AGENCY ACTION PLAN                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                  |                  |  | Status of Imp. | Reason for Partial/Delay/Non-Imp. | Action Taken/Action to be Taken | Date of Follow up         | Status of Imp.                                                                               | Actual Imp. Date                             |      | Remarks                                                          |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Action Plan                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Person/Dept. Responsible         | Target Imp. Date |  |                |                                   |                                 |                           |                                                                                              | From                                         | To   |                                                                  |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                  |                  |  |                |                                   |                                 |                           |                                                                                              |                                              |      |                                                                  |
|                                                 | Thus, the accuracy and fairness of the Due to PhilHealth account cannot be ascertained. Likewise, the delayed remittances may expose the City to liability in paying the interest and penalties prescribed by PhilHealth and other penalties as provided by the IRR of the National Health Insurance Act of 2013.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | c. In case of unavailability of MOAs, Deeds of Donation or other similar documents, immediately coordinate with corresponding NGA grantors/donors to obtain copies thereof; and<br>c. Henceforth, ensure that fund transfers and its corresponding MOAs/TAs are strictly monitored                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                  |                  |  |                |                                   |                                 | Sept. 2025                | Not Implemented<br><br>Not Implemented                                                       | N/A<br><br>N/A                               | -do- |                                                                  |
| AAR 2024<br>Observation No. 18<br>Page 142      | 18. The determination of whether intended projects were implemented in compliance with Section 6.7 of COA Circular No. 94-013 and COA Circular No. 2012-001, could not be performed due to the following:<br><br>a. Fund transfers from various NGAs aged more than five years totaling P97.852 million remained unliquidated due to the absence of supporting documents and reports to establish whether intended projects were implemented or not; and<br><br>b. Donations received totaling P22.599 million remained outstanding for more than 5 years due to the absence of Deeds of Donation or equivalent documents to support the basis of its utilization.<br><br>These conditions adversely affect the fairness of the presentation of the Due to NGAs account in the FS, contrary to Paragraph 27 of IPSAS 3. | 18.15. We recommended and the Management agreed to require the OCAT:<br><br>a. To review all dormant accounts and ensure that copies of MOA, Deeds of Donations and other similar documents, Liquidation Reports, Status of Utilization and other documents to support fund transfers are available to determine if project implementations are in compliance with COA Circular No. 2016-005 and ensure that fund balances, if any, are properly accounted for and disposed of in accordance with Section 6.7 of COA Circular No. 94-013;<br><br>b. Together with implementing offices, ensure that MOAs and Deeds of Donation or other similar documents are duly safeguarded in support of transaction recorded in the books;<br><br>a. In case of unavailability of MOAs, Deeds of Donation or other similar documents, immediately coordinate with corresponding NGA grantors/donors to obtain copies thereof; and<br>c. Henceforth, ensure that fund transfers and its corresponding MOAs/TAs are strictly monitored. | The OCAT is committed and actively working on determining the relevant basis for the utilization of these fund transfers. Additionally, they committed to thoroughly reviewing all dormant accounts and will ensure that necessary documentations are made available prior to implementation.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | OCAT                             |                  |  |                |                                   |                                 | Sept. 2025                | Not Implemented<br><br><br><br>Not Implemented                                               | N/A<br><br><br><br>N/A                       | N/A  | Subject to confirmation in the CY 2025 audit<br><br><br><br>-do- |
| AAR 2024<br>Observation No. 19<br>Page 148      | 19. The present monitoring mechanism for managing the delayed recording of transactions in the books was not effective, thereby resulting in frequent adjustments totaling P414.963 million, contrary to Paragraph 27 of IPSAS 1 and Paragraphs 46 and 47 of IPSAS 3. This resulted in the restatement of the FS, which may adversely affect future fiscal planning.                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 19.8. We recommended that Management:<br><br>a. Require all departments to submit promptly the copies of AIR, DR, SOA, Billing Statements, Progress Billings, and other supporting documents to the OCAT for proper and timely recording of transactions in the books of the City;<br><br>b. Require the OCAT to:<br><br>• Formulate an effective monitoring system to anticipate and manage the delayed recording of transactions;<br><br>• Implement clear deadlines and remedial actions to ensure timely accounting of transactions for accurate financial reporting for each period; and<br><br>c. Strictly adhere to the provisions of Paragraph 27 of IPSAS 1 and Paragraphs 46 and 47 of IPSAS 3.                                                                                                                                                                                                                                                                                                                  | The OCAT committed to sending Quarterly Memos to all offices reminding them of the submission of DVs to eliminate the need for PPAs.<br><br>The DEPW will initiate an internal review of its existing billing process with the objective of identifying bottlenecks and implementing measures to streamline and expedite the procedure. DEPW shall coordinate closely with the OCAT and will explore other collaborative measures that will help facilitate the timely submission of SOA, Billing statements, and other necessary supporting documents                                                                                                                                                                                                                           | Concerned City Departments, OCAT |                  |  |                |                                   |                                 | Sept. 2025                | Not Implemented<br><br><br><br>Not Implemented<br><br>Not Implemented<br><br>Not Implemented | N/A<br><br><br><br>N/A<br><br>N/A<br><br>N/A | N/A  | Subject to confirmation in the CY 2025 audit                     |
| AAR 2024<br>Observation No. 20<br>Page 150      | 20. The City fell short of its overall revenue projections by P6.783 billion or 36.67 percent primarily due to insufficient periodic monitoring and review of underperforming income accounts, contrary to Section 316 of RA No. 7160 or the LGC of 1991, LBC No. 152 dated August 2, 2023, and Budget Operations Manual (BOM) for LGUs 2023 Edition. This revenue shortfall hindered the City's ability to fulfill its obligations to creditors and implement its PPAs.                                                                                                                                                                                                                                                                                                                                                | 20.13. We recommended and Management agreed that through the LFC:<br><br>a. Consider revisiting its forecast methodologies to contemplate prior period data, experiences, and relevant events that continue to challenge the City in attaining its revenue targets, and involve Department Heads in the formulation of policy amendments;<br><br>b. Re-evaluate the 2013 Omnibus Revenue Code of the City, enacted through City Ordinance No. 8331, to explore potential amendments to provisions on tax rates, fees, and related regulations;<br><br>c. Require the City Treasurer to accomplish the Quarterly Report of Receipts (LRAC Form No. 1), certified as correct by the City Accountant, to keep track of the revenue generation status;                                                                                                                                                                                                                                                                         | The LFC will further review and improve the City's forecast of revenue targets by utilizing past data, experiences and events that have relevant effects to meet the revenue targets.<br><br>A review of the Omnibus Revenue Code of the City will be undertaken to determine whether or not there is a need to update the aforementioned measure.<br><br>The LFC will coordinate with the CTO and OCAT regarding the Quarterly Report of Receipts as a measure to improve collection in the areas that may be falling behind.<br><br>The LFC, to intensify efforts to attain collection targets, revealed that the City stands to collect P9.8 billion from SMC Skyway 3 Q&M Corp. and SMC Skyway Stage 3 Corporation, P7 billion RPT, and Meralco for P2.8 billion. Both cases | Department heads, CTO, OCAT      |                  |  |                |                                   |                                 | Sept. 2025                | Not Implemented<br><br><br><br>Not Implemented                                               | N/A<br><br><br><br>N/A                       | N/A  | Pending appropriate action from Management.<br><br><br><br>-do-  |

| AGENCY ACTION PLAN AND STATUS OF IMPLEMENTATION |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                                                                                                                                                                                              |                  |  |      |                |                                   |                                 | RESULTS OF COA VALIDATION |                 |                  |     |                                             |
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| Ref.                                            | Audit Observations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Audit Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | AGENCY ACTION PLAN                                                                                                                                                                                                                                                                                                                                                                                           |                  |  |      | Status of Imp. | Reason for Partial/Delay/Non-Imp. | Action Taken/Action to be Taken | Date of Follow up         | Status of Imp.  | Actual Imp. Date |     | Remarks                                     |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Person/Dept. Responsible                                                                                                                                                                                                                                                                                                                                                                                     | Target Imp. Date |  | From |                |                                   |                                 |                           |                 | To               |     |                                             |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | d. Engage Department Heads in the conduct of periodic reviews of the Quarterly Report of Receipts to determine whether collection targets are attainable, and to formulate measures that intensify efforts for underperforming income accounts; and<br><br>e. Ensure compliance with Section 316 of RA No. 7160 or LGC of 1991 and LBC No. 152 dated August 2, 2023, or the BOM for LGUs 2023 Edition on the duties and functions of the LFC.                                                                                                                                                                                                                                                                                                                                               | however are subject to litigation as soon as the companies involve questions the RPT assessment imposed.                                                                                                                                                                                                                                                                                                     |                  |  |      |                |                                   |                                 | Sept. 2025                | Not Implemented | N/A              | N/A | -do-                                        |
| AAR 2024<br>Observation No. 21<br>Page 150      | 21. The 2,407 DVs, totaling P132,347 million for CY 2024 have not been forwarded by the OCAT to the Office of the City Auditor, contrary to Sections 7.1.1(a), 7.2.1(a), and 7.3.1 of COA Circular No. 2009-006 dated September 15, 2009, and Section 44 (i-k), Chapter 3, Volume I of the MNGAS for LGUs. Thus, the non-recording of paid transactions resulted in the overstatement of the CIB and AP accounts by P227,498 million, and the validity of the claims could not be ascertained.                                                                                                                                                                                                                                                                                | 21.B. We recommended and Management agreed to:<br>a. Require the CTO to coordinate with and update the OCAT on the status of these checks for proper recording in the books at year-end;<br>b. Require the OCAT to submit the 3766 DVs and related supporting documents to this Office for review and post-audit, upon payment; and<br>c. Henceforth, ensure strict compliance with the provisions of COA Circular No. 2009-006 and Chapter 3, Volume I of the MNGAS for LGUs relative to the submission of reports.                                                                                                                                                                                                                                                                        | The OCAT has partially submitted the DVs leaving a balance of P194,237 million for the 3,404 DVs.                                                                                                                                                                                                                                                                                                            | OCAT, CTO        |  |      |                |                                   |                                 | Sept. 2025                | Not Implemented | N/A              | N/A | The OCAT has yet to submit the 3,404 DVs    |
| AAR 2024<br>Observation No. 23<br>Page 137      | 23. The utilization of the Local Council for the Protection of Children (LCPC) fund of P259,910 million was not maximized due to non-implementation of 10 PPAs with an appropriation of P117,591 million. Thus, the objectives of the City Council for the Protection of Children (CCPC) to promote the welfare and protect the rights of children in their jurisdiction were not fully attained, contrary to DILG MC No. 2021-039.                                                                                                                                                                                                                                                                                                                                           | 23.7. We recommended that Management require the CCPC to:<br>a. Revisit the existing planning and monitoring procedures currently in place for LCPC PPAs to determine and improve on weak areas that hinder the efficient implementation of programs/projects to enable the CCPC attain the Council's objective of protecting the rights and welfare of disadvantaged children; and<br>b. Adopt the provisions of the DILG MC Nos. 2021-039 and 2008-126.                                                                                                                                                                                                                                                                                                                                   | Management is committed in implementing procedures and coordinating with concerned offices to ensure the implementation of the Programs for Children as well as compliance with relevant LCPC guidelines.                                                                                                                                                                                                    |                  |  |      |                |                                   |                                 | Sept. 2025                | Not Implemented | N/A              | N/A | Pending appropriate action from Management. |
| AAR 2024<br>Observation No. 24<br>Page 159      | 24. The following challenges in the implementation of the Ecological Solid Waste Management (ESWM) Act of 2000 or RA No. 9003 continue to burden the City's effective realization of the benefits of said law, to wit:<br>a. Insufficient updating of pertinent ordinances and the SWM Plan to address the evolving conditions in the City;<br>b. Program goals to promote awareness through Information Education Campaign (IEC) for commercial establishments were not accomplished, and targets for growth were not adjusted to consider demographic shifts;<br>c. The Manila City Environment and Natural Resources Office (CENRO) has yet to be established.<br>The aforementioned circumstances have adversely affected the City's enforcement of the ESWM Act of 2000. | We recommended that Management:<br>a. Through the DPS and SWM Board, for SWM ordinances and SWM Plans, to:<br>• Fast-track the revision of outdated SWM ordinance and strengthen penalties for non-compliance to align with evolving national policies and current environmental challenges of the City; and<br>• Formulate a mechanism for the regular review and updating of the SWM Plan to ensure compliance with legal requirements and responsiveness to evolving waste management challenges.<br>b. Implement aggressive IEC campaigns to increase public awareness and compliance, and adjust engagement targets to reflect demographic changes.<br>c. Direct the City Council to take the necessary steps to operationalize the Manila CENRO to fulfill its environmental mandate. | DPS will propose to the City Solid Waste Management Board at least once a year update on the PPAs indicated in the plan as part of its monitoring and evaluation mechanism to form part of the regular updates of the SWM Plan.<br><br>DPS will formulate a robust IEC strategy that will utilize multiple communication platforms such as social media, digital channels, community engagement, and flyers. | DPS              |  |      |                |                                   |                                 | Sept. 2025                | Not Implemented | N/A              | N/A | Pending appropriate action from Management. |

| AGENCY ACTION PLAN AND STATUS OF IMPLEMENTATION |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                             |                                              |                  |                |                                    |                                 |                   | RESULTS OF COA VALIDATION                                     |                  |                                             |         |  |
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| Ref.                                            | Audit Observations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Audit Recommendations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Action Plan                                                                                                                                                                                                                                                                                 | AGENCY ACTION PLAN                           |                  | Status of Imp. | Reason for Partial/Delay/ Non-imp. | Action Taken/Action to be Taken | Date of Follow up | Status of Imp.                                                | Actual Imp. Date |                                             | Remarks |  |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                             | Person/Dept. Responsible                     | Target Imp. Date |                |                                    |                                 |                   |                                                               | From             | To                                          |         |  |
| AAR 2024<br>Observation No. 25<br>Page 164      | 25. The 5% share of the DPWH in the Building Permit Fees amounting to P23,797 million remained unremitted, as of December 31, 2024, contrary to Section 2 of the DPWH-DILG JMC No. 001, s. 2013. Further, the 15% share of the Office of the Building Official (OBO) amounting to P71,399 million remained unutilized contrary to Section 2 of the said JMC, thereby missing out on Improvement opportunities of OBO operations had its share from Building Permit Fees been utilized.                                                                                                                                                                                                                                                                                                                                                                                                  | 25.10. We recommended that Management:<br><br>a. Require the OCAT and CTO to verify and reconcile the amount of 5 percent share due to the DPWH, and remit the same promptly pursuant to the provisions of JMC No. 01, s. 2013;<br><br>b. Require the OBO to formulate a Program of Work for the utilization of the 15 percent OBO share to further improve the efficiency of its operations and to comply with the provisions of PD No. 1096 and its IRR and JMC No. 01.                                                                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                                                                             | OCAT, CTO                                    |                  |                |                                    |                                 | Sept. 2025        | Not Implemented<br><br>Not Implemented                        | N/A<br><br>N/A   | Pending appropriate action from Management. |         |  |
| AAR 2024<br>Observation No. 26<br>Page 166      | 26. The City's Implementation of the Local Climate Change Action Plan (LCCAP) cannot be ascertained due to the following conditions:<br><br>a. The PPAs under the LCCAP were not properly specified and appropriated in the City's Investment Plan for CY 2024;<br><br>b. An LCCAP Core Team responsible for implementing, regularly monitoring and updating the LCCAP was not established;<br><br>c. The LCCAP was not regularly updated to address emerging/changing social, economic and environmental conditions and issues; and<br><br>d. An Annual Progress Report was not submitted to the Climate Change Commission.<br><br>These circumstances are contrary to RA No. 9729, otherwise known as the Climate Change Act of 2009 and DILG MC No. 2014-135 dated October 21, 2014, thereby resulting into lapses in monitoring of implementation of PPAs under the approved LCCAP. | 26.14. We recommended that Management:<br><br>a. Ensure that approved climate change PPAs are aligned with the City's LCCAP and funded from the City's NTA in accordance with Section 14 of RA No. 9729;<br><br>b. Promptly create the City's LCCAP Core Team in accordance with paragraph 3.1.1 of DILG-MC No. 2014-135 and Section 7 of the City's LCCAP to facilitate proper planning, prioritization, funding, implementation and monitoring/assessment of proposed climate change PPAs;<br><br>c. Regularly update the LCCAP to ensure its alignment with evolving social, economic, and environmental challenges of the City and Barangays; and<br><br>d. Prepare an Annual Progress Report of the identified PPAs in the LCCAP, submitted to the Climate Change Commission, and furnish a copy to this Office. | updating the LCCAP of the City as well as its proper process and monitoring is currently underway. They committed that, in coordination with the City Planning and Development Office and the other members of the MDRMO Council, they will properly address the recommendations in CY 2025 | MDRRMO, City Planning and Development Office |                  |                |                                    |                                 | Sept. 2025        | Not Implemented<br><br>Not Implemented<br><br>Not Implemented | N/A<br><br>N/A   | Pending appropriate action from Management. |         |  |
| CYs 2018, 2019 and 2021 AARs                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                             |                                              |                  |                |                                    |                                 |                   |                                                               |                  |                                             |         |  |
| CY 2021 AAR,<br>Observation No. 4,<br>page 83   | Seven hundred twenty-three (723) cases of double payment of emergency subsidy/financial assistance (FA) to beneficiaries in COVID-19 lockdown translated to a total payment of P8,424 million in excess of the amounts legally authorized.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | We recommended that Management:<br><br>a. Establish the accountability for and recover the excess payment of emergency subsidy and FA; and<br><br>b. In coordination with the DSWD, supply the missing beneficiary information necessary in the full validation of the payments of the subject emergency subsidy/FA.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Management has sent letters/notices through registered mails (with registry receipts) to 308 Social Amelioration Program (SAP) beneficiaries                                                                                                                                                |                                              |                  |                |                                    |                                 | Sept. 2025        | Not Implemented<br><br>Not Implemented                        | N/A<br><br>N/A   | Pending appropriate action from Management. |         |  |
| CY 2019 AAR,<br>Observation No. 1,<br>page 63   | The City has not submitted 1,684 disbursement vouchers (DVs) and their supporting documents involving P2,275 billion, thereby limiting the extent of audit, preventing us to establish fully the validity of the underlying transactions, and forfeiting the benefit of, among others, timely detecting errors and deficiencies; identifying areas for improvement; and having input to assessments of accountability and decisions that need to be made. One thousand four hundred thirty-five (1,435) of these unsubmitted DVs in the amount of P2,142 billion pertain to the disbursements from CY 2015 to June 30, 2019 and are the accountabilities of the previous City Administrations.                                                                                                                                                                                          | We recommended that Management:<br><br>a. Direct the CTO to:<br>• Produce and submit to the OCAT without further delay all the 288 DVs in Paragraph 1.7 of Observation No. 1;<br>• Submit to the OCAT within the prescribed period all the DVs supporting the Reports of Checks Issued (RCI); and<br><br>b. Require the OCAT to:<br>• Submit to the City Auditor's Office (CAO) without further delay all the 1,684 DVs specified in Paragraph 1.5 of Observation No. 1; and                                                                                                                                                                                                                                                                                                                                          |                                                                                                                                                                                                                                                                                             |                                              |                  |                |                                    |                                 | Sept. 2025        | Not Implemented<br><br>Not Implemented<br><br>Not Implemented | N/A<br><br>N/A   | Pending appropriate action from Management. |         |  |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | • Henceforth, submit to the CAO within the prescribed period all the DVs supporting the checks issued in the RCI with the list of original DVs still with the CTO, in the proper case, and stop the preparation of a separate schedule of DVs.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                                                             |                                              |                  |                |                                    |                                 | Sept. 2025        | Not Implemented                                               | N/A<br><br>N/A   | -do-                                        |         |  |

| AGENCY ACTION PLAN AND STATUS OF IMPLEMENTATION |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                            |                                                                                                                                                         |                          |                  |                |                                   |                                 |                   | RESULTS OF COA VALIDATION |                  |     |                                                                                                     |
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| Ref.                                            | Audit Observations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Audit Recommendations                                                                                                                                                                                                      | AGENCY ACTION PLAN                                                                                                                                      |                          |                  | Status of Imp. | Reason for Partial/Delay/Non-imp. | Action Taken/Action to be Taken | Date of Follow up | Status of Imp.            | Actual Imp. Date |     | Remarks                                                                                             |
|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                            | Action Plan                                                                                                                                             | Person/Dept. Responsible | Target Imp. Date |                |                                   |                                 |                   |                           | From             | To  |                                                                                                     |
| CY 2018 AAR, Observation No. 16, Page 92        | The excess amount of collections/proceeds from sale of bid documents and other related fees amounting to P13.958 million as of December 31, 2018 was still being maintained under the trust fund (TF) instead of transferring the same to the general fund (GF) pursuant to item 6.2 of Department of Budget and Management (DBM) Circular No. 2004-5A. Pursuant to Paragraph 10 of the Joint Venture Agreement IVA, we recommended that Management come up with IVA addendum/ amendments or similar binding document to correct the provisions and deficiencies therein that work against the interest of the City (Paragraphs 3.3, 3.10 and 3.11) with the end view of, among others: | We recommended that Management direct the City Treasurer to cause the immediate transfer of the unutilized amount of the proceeds from the collection of bid documents and related fees from the TF to the GF by the City. | The OCAT is still in the process of determining the excess collections/proceeds. Once completed, a DV will be prepared for the fund transfer to the GF. | OCAT                     |                  |                |                                   |                                 | Sept. 2025        | Not Implemented           | N/A              | N/A | Pending transfer from the CTO, the corresponding adjusting entry has not yet been made by the OCAT. |

Prepared by:

PIA PANGIA R. RESPICIO  
Audit Team Leader, Team 2

Date September 18, 2025

JINBE JIM O. ANCHETA  
Audit Team Leader, Team 1

Date September 18, 2025

Approved by:

JOSE DENNIS G. SIB  
Supervising Auditor

Date September 18, 2025